suggestion of appointing a non-executive Chairman for the bank. He also contradicted the Committee's remarks on Indianization and produced figures to show that the pace had actually been 'exceedingly rapid'.[10]

In response to Chisholm's memorandum, a lengthy internal note was recorded at the RBI by B. Venkatappiah, Executive Director, who had been a key member of the RBEC. He argued that the demand for greater state control over the Imperial Bank was both justified and necessary.[11] According to Venkatappiah, the central banking of the country, which between 1935 and 1948 had been 'reposed in one unit', was split up between a 'State-controlled Reserve Bank' and a 'virtually uncontrolled Imperial Bank'. The disparity, he added, had further widened after the nationalization of the Reserve Bank in 1949.[12] According to Venkatappiah, the proposal to reconstitute the management of the Imperial Bank was the most important recommendation of the RBEC and its rejection would amount to 'the rejection of the whole scheme' put forward by it. The government control proposed by the RBEC, he pointed out, would be an 'extremely attenuated' version of what existed prior to 1935 when the government was empowered to 'nominate' two Managing Governors and also issue directives to the bank and felt that the 'balance of advantage' lay with the RBEC's second proposal which provided for the appointment of a non-executive Chairman subject to government approval.[13]

RBI Governor Rama Rau in a memorandum dated December 18, 1950, to his Central Board, a copy of which was forwarded to the Imperial Bank, dwelt on the recommendations of the RBEC at length. He referred to the fact that the RBEC had nowhere in its report recommended 'even by implication' any steps that could be regarded as constituting nationalization of the bank. The Imperial Bank Act itself contained provisions for additional powers of control and supervision over the bank including among other things appointment of auditors by the government, issuance of instructions by the RBI in respect of any matter which vitally affected either the security of government monies or the assets of the issue department of the RBI in the custody of the Imperial Bank. The Governor opined that if the powers vested in the government and the RBI were 'exercised properly', it would be 'difficult, if not impossible' for the bank to adopt any policy that was detrimental to national interests. The Governor instead chose to favour the alternative suggested by the RBEC that the constitution